

Electronic Commerce

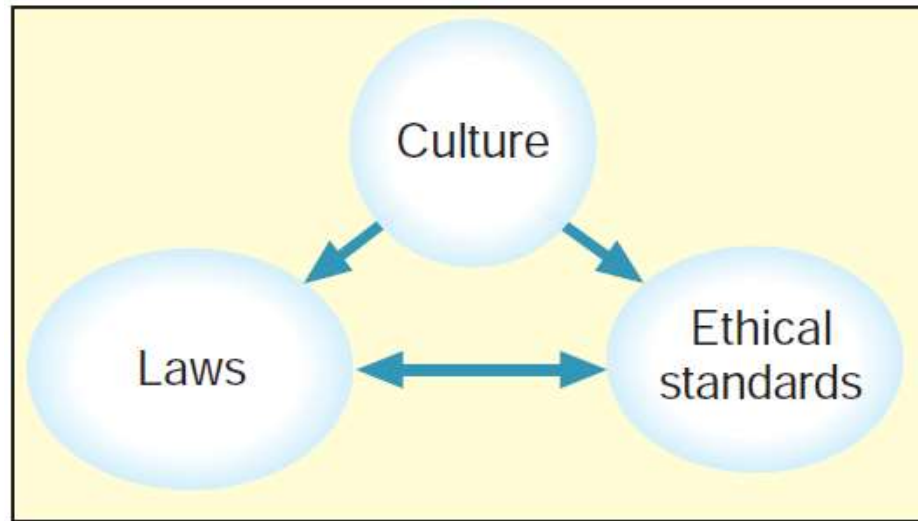
Chapter 2: Electronic Commerce Environment

Objectives

- E-commerce legal environment
- Online crime, terrorism, warfare
- Intellectual property
- Ethical issues

Legal environment

- All businesses must comply to laws



- Borders and Jurisdiction
 - Physical world: territorial borders mark range of culture and applicable laws
 - Jurisdiction: the ability to control a person or corporation of the government

Legal environment

- Geographic & legal boundaries
 - Power
 - Effect
 - Legitimacy
 - Notice



Legal environment

- Jurisdiction on the Internet
 - Much more difficult
 - Use **contract**: promises between 2 or more legal entities for exchanging values
 - Violation of contract: filed in courts with jurisdiction
- Conflict of laws
 - Online businesses: look to federal laws for guidance
 - How about international issues?

Legal environment

- Contract in e-commerce
 - Offer
 - Acceptance
 - Consideration
- Implied contract
 - Act as if contract exists
 - Even with no written and signed contract
- Contract on the Internet
 - Email exchange, fill web form, end-user license agreements (EULAs), etc.
- Warranties on the Web
 - Implied warranties
 - Warranty disclaimer

Online crime, terrorism, warfare

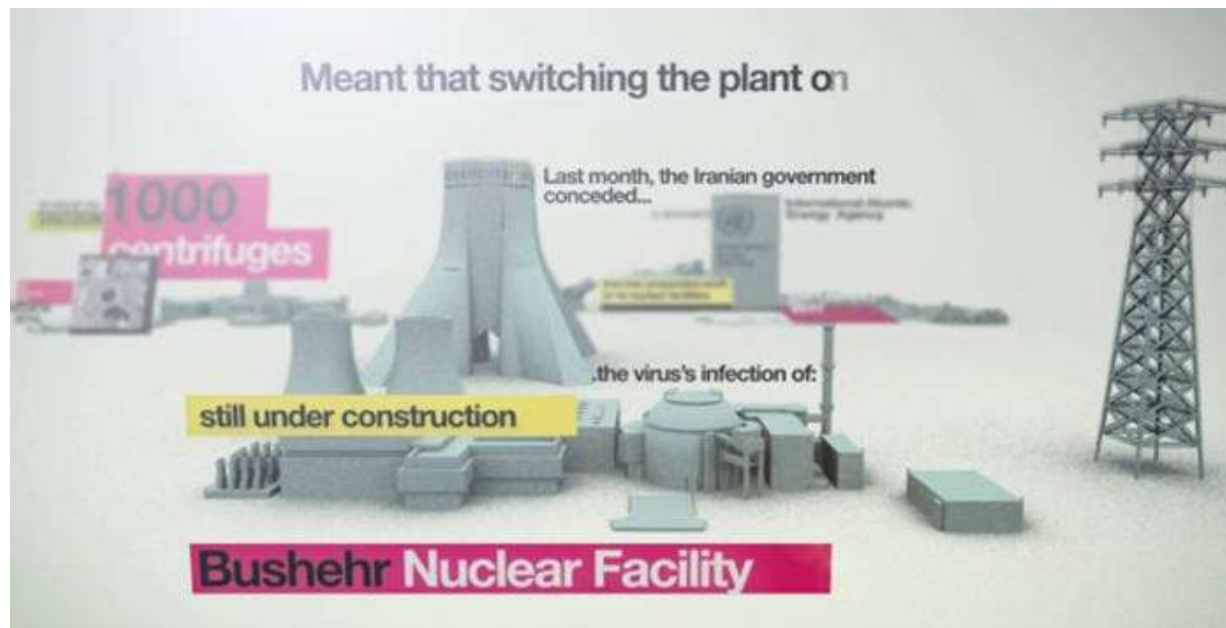
- Online crime
 - Online version of physical crimes: theft, stalking, pornography distribution, gambling
 - New online crime: using computers to attack other computers, cyberbullying, stealing or destroying important data
 - Difficult to enforce laws due to jurisdiction issues
- Advantages of the Internet
 - Track perpetrators of online crimes
 - Criminals brag on social networking sites
 - Criminals leave clues in online profiles

Online crime, terrorism, warfare

- New age of terrorism and warfare carried out or coordinated through the Internet
- Web sites
 - Openly support or are operated by hate groups and terrorist organizations
 - Contain detailed instructions for creating biological weapons, other poisons
 - Contain discussion boards (help terrorist groups recruit new members online)
 - Offer downloadable terrorist training films

Online crime, terrorism, warfare

- Online warfare
 - Actions by a nation-state to penetrate another nation's computers or networks for the purposes of causing damage or disruption
 - Espionage
 - Sabotage



Intellectual property

- Intellectual property
 - Products of human mind
 - Protected by copyright, patent, trademark, and service mark
- Copyright
 - Exclusive right granted to creators of literary or artistic works (print, publish, sell)
 - For a limited time (e.g. life of authors + 70 years)
 - Idea cannot be copyrighted
 - Web pages are protected by copyright
 - Fair use: news report, teaching, research, etc.

Intellectual property

- Copyright infringement
 - Difficult to apply
 - Napster peer-to-peer file sharing
 - Case-by-case basis
- Patent
 - Exclusive right granted to an individual to make, use, and sell an invention
 - Limited time (20 years)
 - Invention: must be genuine, novel, useful, and not obvious given current technology state
 - Business process patent: controversial

Intellectual property

- Trademark and service mark
 - Trademark: distinctive mark, device, motto, implement company affixes to goods it produces for identification purpose
 - Service mark: similar to trademark, but for service identification
 - Must register to be protected
- Web site designers must not use any trademarked name, logo, other identifying mark without express permission of trademark owner

Intellectual property

- Domain name issues
 - Cybersquatting
 - Name changing (typosquatting)
 - Name stealing
- Protecting intellectual property
 - Digital watermark
 - Digimarc: provides watermark protection systems and software
 - Copy control
 - Electronic mechanism limiting number of copies

Ethical issues

- Companies using Web sites to conduct electronic commerce should adhere to the same ethical standards that other businesses follow
 - Advertising or promotion should include only true statements and should omit any information that could mislead potential customers
 - Even true statements have been held to be misleading when the ad omits important related facts.
 - Any comparisons to other products should be supported by verifiable information

Ethical issues

BURGER KING WHOPPER

ADVERTISEMENTS



ACTUAL WHOPPER

- ROTATED TO MOST ATTRACTIVE ANGLE
- WITH CHEESE
- SLIGHTLY FLUFFED UP, FOR PICTURE



MCDONALDS ANGUS DELUXE TP

ADVERTISEMENTS



ACTUAL BURGER

- ROTATED TO MOST ATTRACTIVE ANGLE
- SLIGHTLY FLUFFED UP, FOR PICTURE



TACO BELL CRUNCHY TACO



Advertisements

Actual Taco



Ethical issues

- Violation of ethical standards
 - Damaged reputation
 - Long-term loss of trust
- Important ethical issue organizations face
 - Limiting use of collected e-mail addresses, related information
 - Lack of government regulation: most organizations state their policy
- Privacy rights
 - Laws have not kept pace with the growth of the Internet and the Web
 - Companies lose control of the data they collect on their customers

Ethical issues

- Privacy policies
 - Opt-out approach
 - Assumes customer does not object to company's use of information
 - Unless customer specifically denies permission
 - Opt-in approach
 - Company collecting information does not use it for any other purpose
 - Unless customer specifically chooses to allow use
- Communication with children
 - Children less capable of evaluating information sharing and transaction risks

Ethical issues

- Electronic commerce Web sites
 - Be conservative in customer data collection and use
 - Use four principles for handling customer data
 - Use data collected for improved customer service
 - Do not share customer data with others outside your company without customer's permission
 - Tell customers what data you are collecting and what you are doing with it
 - Give customers the right to have you delete any data collected about them
 - Keep data secure

End of chapter 2